ARENJA & RAJ FINANZ

FREE GUIDE · STRATEGY

Your first rental property in Germany

How tenants help pay your loan, which three numbers decide if a flat is a good deal, and what expats should plan for.

- Why a rental flat – and the honest downsides
- The 3 numbers to check before you buy
- A full example with real cash flow
- Depreciation (AfA) in one table
- Checklist for viewing a buy-to-let flat

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Mortgage & insurance brokers for expats in Germany
English · Hindi · German

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WHY PROPERTY

Your tenant pays a big part of the loan

With a rental flat, the rent covers most of the monthly loan payment. Over 20–30 years the loan shrinks and the flat becomes your wealth – often with tax benefits on the way.

🏦 Leverage

The bank finances most of the price. You build wealth with the bank's money, not only your savings.

📉 Tax effect

Interest, depreciation and costs are deducted from the rent. A loss can lower your income tax.

⏳ 10-year rule

A privately held rental flat sold after more than 10 years: the gain is generally tax-free (§23 EStG).

🇮🇳 Moving back?

The flat can stay rented. Rental income from German property is generally taxed in Germany.

The honest part

- Most good deals have a **negative cash flow** at the start – you add some money every month.
- Vacancy, repairs and a difficult tenant happen. Plan a buffer.
- Interest rates matter: 1 percentage point more changes the numbers a lot.

That's why the right financing structure (term, repayment, KfW, equity) decides whether a flat works for you.

Is a rental flat right for you?
We calculate your personal plan – how much, how fast, and what it costs you per month.

Book free call →

CHECK BEFORE YOU BUY

The 3 numbers that decide

Number	How to calculate	Rule of thumb
1. Gross yield	Annual cold rent ÷ price × 100	Below ~4%: check carefully
2. Price factor	Price ÷ annual cold rent	Above ~25: expensive
3. Monthly cash flow	Rent – loan payment – non-recoverable costs (+ tax effect)	Know it before you sign

Example: flat for €250,000, rent €900/month

	Per year	Per month
Cold rent	€10,800	€900
Loan €250,000 (4% interest + 2% repayment)	–€15,000	–€1,250
Non-recoverable costs (≈10% of rent)	–€1,080	–€90
Cash flow before tax	**–€5,280**	**–€440**
Tax effect at 42% (loss ≈ €4,030)	+€1,693	+€141
Cash flow after tax	**≈ –€3,590**	**≈ –€299**

Gross yield 4.3%, price factor 23.1. Tax loss: rent €10,800 – interest ≈€10,000 – AfA €3,750 (2% of 75% building share) – costs €1,080. Year 1, simplified, buying costs paid from savings. Example only – not tax advice.

> 💡 €299 a month for a flat worth €250,000 that the tenant pays off – that's the logic. Whether it fits your budget, we calculate with your numbers.

Got a flat in mind?
Send us the exposé – we run the numbers and show you the financing options.

Book free call →

TAX BASICS

Depreciation (AfA) in one table

You can deduct the building part of the price (not the land) over many years. Which rate applies depends on when the building was finished or started.

Building	AfA per year	Note
Built before 1925	2.5%	linear, 40 years
Built 1925 – 2022	2%	linear, 50 years
Finished from 2023	3%	linear, about 33 years
New build, construction started / bought 01.10.2023 – 30.09.2029	**5% declining**	**of the remaining value (§7 (5a) EStG)**
Energy-efficient new rental flats	+5% special	first 4 years, limits apply (§7b EStG)

Source: §7 EStG (lohnsteuer-kompakt, 2025/26). Details and your case: please ask a tax advisor.

Viewing checklist for a buy-to-let flat

- [ ] Rent vs. local rent index (Mietspiegel) – is the rent realistic?
- [ ] Owners' reserve (Erhaltungsrücklage) – is enough saved for repairs?
- [ ] Minutes of the last 3 owners' meetings – big repairs planned?
- [ ] Energy certificate – heating type and class
- [ ] Declaration of division (Teilungserklärung) – what exactly do you own?
- [ ] Location: jobs, transport, population trend

Want a second opinion on a flat?
We look at the numbers with you before you commit.

Book free call →

YOUR NEXT STEP

Let's build your property plan

In a free 30-minute call we work out how much you can invest, what it costs you per month and which bank structure fits.

1
We look at income, equity and goals

2
We calculate cash flow and financing for a real flat

3
You get offers from several banks

Book your free 30-minute call

Scan the code or tap the link – pick a time that suits you. Online, in English, Hindi or German.

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We compare – you don't have to visit them one by one

Made for expats
Blue Card, no SCHUFA history, family in India – we know the questions

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